

SPECIFICATIONS OF POLICE PENSION ADMINISTRATION

Pension on full retirement

(1) When a contributor retires—

(a) on the day before the day on which he or she attains the age of 55 years

or

(b) when he or she has 30 or more years of pensionable service,

he or she is entitled to a pension on full retirement at the annual rate set as outlined below except when the contributor makes an election under section 14 to take a reduced pension and gratuity (also see below).

Formula on Full Retirement

Annual rate of pension (paid in monthly installments)

An annual rate of pension payable to a contributor is the rate arrived

at when the following formula is applied—

$$R = 1/60 PY + 1/60 PS$$

where—

R = annual rate of pension

P = pensionable pay

Y = number of completed years of pensionable service up to 20

S = number of completed 6 month periods of pensionable service from 20½ to 30 years.

Reduced pension and gratuity on full retirement

(1) A contributor who makes this election shall be paid

(a) a reduced pension on full retirement at the rate of $\frac{3}{4}$ of the annual rate of pension

and

(b) a gratuity on full retirement in the amount arrived at when the following formula is applied—

$$G = (\frac{1}{4} P \div 100) M$$

where—

G = gratuity amount

P = annual rate of pension set out in annual rate of pension formula

M = multiplier for the contributor determined under the schedule below

MULTIPLIER TABLE

Age of Contributor	Multiplier
50 & below	1575
51	1575
52	1560
53	1550
54	1530
55	1510
56	1480
57	1450
58	1420
59	1395
60	1370

Pension on Early Retirement

A contributor is entitled to a pension on early retirement at the annual rate set out previously in annual rate of pension, when he or she retires by resignation or dismissal having 10 or more but less than 30 years of pensionable service, **except** when the contributor makes an election to take a reduced pension and gratuity.

A pension on early retirement shall be—

(a) deferred until the pensioner attains the age of 60 years; and

(b) paid in monthly instalments in arrears.

The calculation will be the same as full retirement however as mentioned above it will be deferred until attainment of 60 years.

Formula for reduced Pension and gratuity on Early Retirement

(1) a reduced pension on early retirement at the rate of $\frac{3}{4}$ of the annual rate

(2) gratuity on early retirement in the amount arrived at when the following formula is applied—

$$G = (\frac{3}{4} P \times 12\frac{1}{2}) D$$

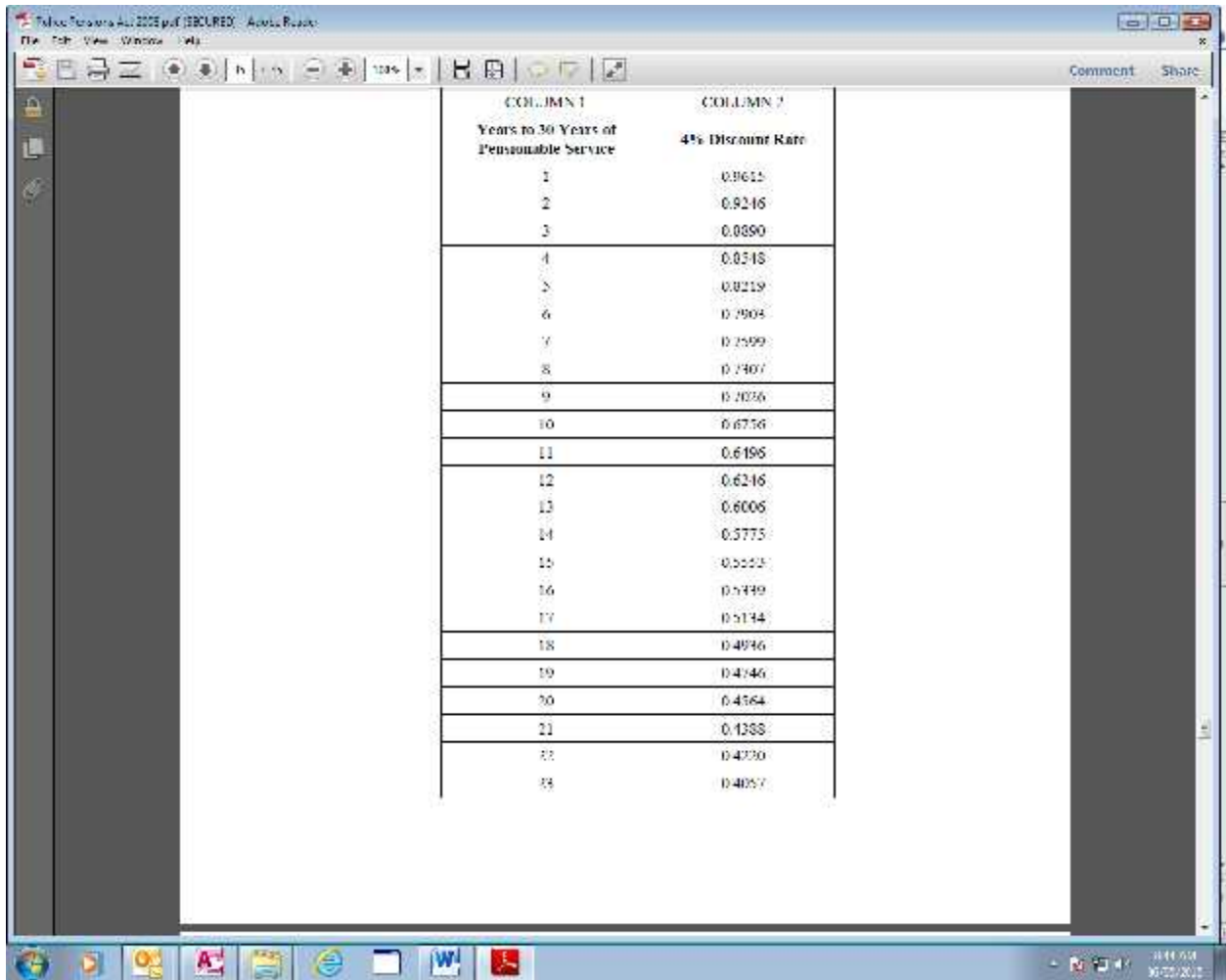
where—

G = gratuity amount

P = annual rate of pension set out in section 12

D = discount rate for the contributor as determined below

Discount Rate Table



COLUMN 1 Years to 30 Years of Pensionable Service	COLUMN 2 4% Discount Rate
1	0.9615
2	0.9246
3	0.8890
4	0.8548
5	0.8219
6	0.7903
7	0.7599
8	0.7307
9	0.7026
10	0.6756
11	0.6496
12	0.6246
13	0.6006
14	0.5775
15	0.5553
16	0.5340
17	0.5134
18	0.4936
19	0.4746
20	0.4564
21	0.4388
22	0.4220
23	0.4057

Formula for Gratuity for Short Service

Short Service: resignation or dismissal having 2 or more but less than 10 years of pensionable service.

Pension for Short Service

Same as previous pension calculations. However the officer who resigns or dismisses on short service only has the option of (1) pension (deferred until age 60) **or** (2) Gratuity (formula provided below)

Gratuity for short service

A contributor who makes an election for short service shall be paid a gratuity for short service in the amount arrived at when the following formula is applied—

$$G = (1/24 PS) D$$

where—

G = gratuity amount

P = pensionable pay

S = number of completed 6 month periods of pensionable service

D = discount rate for the contributor as determined using the discount table provided above.